Specialised Investment Funds should offer a diverse menu to woo investors

To prevent retail investors from handing over large sums to unregulated entities in the search for high returns, the Securities and Exchange Board of India (SEBI) **has** proposed a new product class between mutual funds and Portfolio Management Services (PMS). The regulatory **framework** for this product, to be named Specialised Investment Funds (SIFs), **was** notified last week. It **leans** more towards the strict rules **governing** mutual funds, rather than the **light-touch** regulations which are **in force** for PMS.

This may ensure **reasonable** investor protection **guardrails** for a product where the starting **ticket size** will be ₹10 lakh, compared to just ₹250 for mutual funds. However, **given** the strategies proposed to be offered by SIFs and the fund industry's lack of **track record** in managing them, SIFs may not **take off** all that quickly. To keep out **fly-by-night entities**, SEBI has proposed to let only registered Asset Management Companies (AMCs) launch SIFs — under **a new vertical**. The AMC will either need a track record of three years with ₹10,000 crore in assets or a Chief Investment Officer with 10 years' experience managing ₹5,000 crore, to launch this product. SEBI could have stayed with the first condition, since individual managers cannot **substitute** for the governance and track record of an institution. To ensure retail investors are not confused, AMCs have been asked to create **distinctive** brands for their SIFs, with the facility to use their parent brand only for the first five years. SIFs will need to **adhere to** all the **extant** MF regulations, except in the following **respects**.

Single-issuer **limits** for debt SIFs **will** be at 12-20 per cent of portfolios compared to the 10 per cent **mandated** for MFs. SIFs have been allowed to take active **derivatives exposure** of up to 25 per cent, which is not allowed to MFs. SIFs can allow investment and **redemption** at **intermittent** intervals, **in contrast to** MFs which are either **open-ended** or **close-ended**. They need to disclose portfolios every alternate month and use scenario analysis to make risks clear to investors. However, **the initial set** of investment strategies for SIFs **is** rather unexciting. The list has three variations of long-short equity funds (**a plain vanilla fund**, a fund that excludes the top 100 stocks and a fund that rotates sectors), two varieties of long-short debt funds and two such hybrid funds.

Globally, **long-short strategies**, which **entail** simultaneous buy and sell positions in an asset to remain direction-neutral on markets, **are** used mainly by **hedge funds patronised** by very wealthy investors. Long-short strategies target an absolute risk-adjusted return, rather than trying to max out returns from an asset class. Whether these strategies will **appeal** to retail investors remains to be seen. Indian AMCs also have no track record in long-short products and have **minimal** active presence in the derivatives market. The mutual fund industry may need to come up with more **diverse** strategies, if it wants to **taste success** in SIFs. **[Practice Exercise]**

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

Vocabulary

1. **Diverse** (adjective) – Varied, Multifaceted, Mixed, Heterogeneous, Assorted विविध
2. **Woo** (verb) – Attract, Entice, Lure, Persuade, Court आकर्षित करना
3. **Framework** (noun) – Structure, System, Plan, Model, Outline ढांचा
4. **Lean** (verb) – Incline, Tend, Favor, Gravitate, Be prone to झुकना
5. **Govern** (verb) – Control, Regulate, Manage, Rule, Direct शासन करना
6. **Light-touch** (adjective) – Minimal, Gentle, Soft, Limited, Moderate हल्का
7. **In-force** (adjective) – Active, Operational, Effective, Valid, Applicable प्रभावी
8. **Reasonable** (adjective) – Fair, Rational, Logical, Sensible, Justified उचित
9. **Guardrail** (noun) – Protection, Safety measure, Barrier, Safeguard, Fence सुरक्षा
10. **Ticket size** (noun) – Investment amount, Entry level, Minimum investment, Capital, Stake निवेश राशि
11. **Given** (preposition) – Considering, Granted, Provided, Acknowledging, Assumed देखते हुए
12. **Track record** (noun) – Past performance
13. **Take off** (phrasal verb) – Launch, Begin, Start, Succeed, Lift off शुरू होना
14. **Fly-by-night entity** (noun) – someone who wants to make money very quickly, without caring about the quality or honesty of the service they offer
15. **Vertical** (noun) – a business niche or market, or to an economic strategy
16. **Substitute** (verb) – Replace, Exchange, Swap, Alternate, Stand in किसी के स्थान पर रखना
17. **Distinctive** (adjective) – Unique, Special, Characteristic, Notable, Remarkable विशिष्ट
18. **Adhere** (to) (verb) – Follow, Comply, Abide, Stick, Conform पालन करना
19. **Extant** (adjective) – Existing, Current, Surviving, Present, Remaining मौजूदा
20. **Respects** (noun) – Aspects, Regards, Details, Features, Elements पहलू
21. **Mandate** (verb) – Require, Order, Direct, Command, Authorize अनिवार्य करना
22. **Derivative** (noun) – a financial product such as an option (= the right to buy or sell something in the future) that has a value based on the value of another product, such as shares or bonds

23. **Exposure** (noun) – Risk, Vulnerability, Liability, Susceptibility, Involvement जोखिम

24. **Redemption** (noun) – the act of exchanging shares or bonds for cash

25. **Intermittent** (adjective) – Sporadic, Occasional, Irregular, Periodic, Fitful रुक-रुक कर

26. **In contrast to** (phrase) – Unlike, Compared to, As opposed to, Contrary to, Differently from के विपरीत

27. **A plain vanilla fund** (noun) – the most basic or standard version of a financial instrument, usually options, bonds, futures, and swaps साधारण फंड

28. **Entail** (verb) – Involve, Require, Necessitate, Include, Demand आवश्यक बनाना

29. **Hedge fund** (noun) – an offshore investment fund, typically formed as a private limited partnership, that engages in speculation using credit or borrowed capital.

30. **Patronise** (verb) – Support, Sponsor, Back, Fund, Promote संरक्षण देना

31. **Appeal** (verb) – Attract, Interest, Fascinate, Engage, Draw आकर्षित करना

32. **Minimal** (adjective) – Minimum, Least, Smallest, Negligible, Bare न्यूनतम

33. **Diverse** (adjective) – Varied, Multifaceted, Mixed, Heterogeneous, Assorted विविध

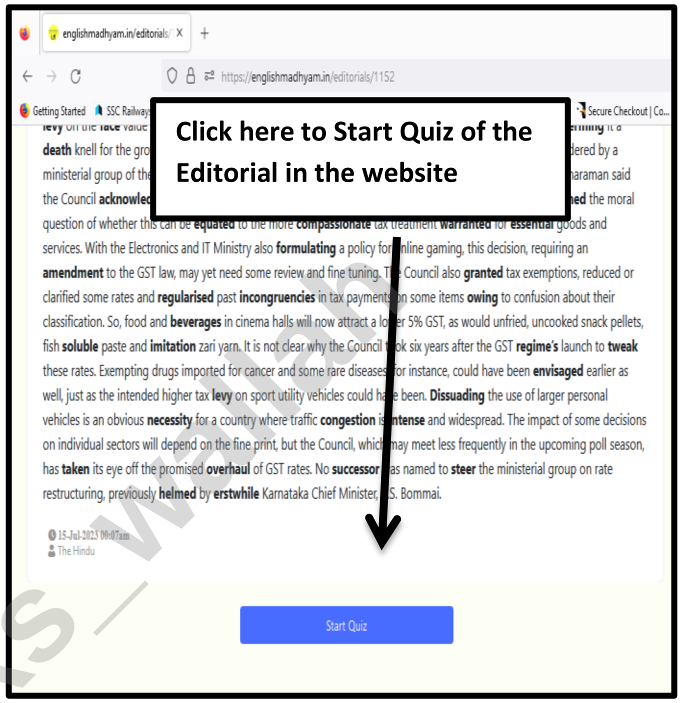
34. **Taste success** (phrase) – Achieve success, Succeed, Win, Triumph, Prosper सफलता पाना

- **Open-ended mutual fund** (noun) – a mutual fund that allows investors to buy and sell units at any time
- **Closed-ended mutual fund** (noun) – a mutual fund that has a fixed number of units and a set maturity date.

Summary of the Editorial

1. **New Product Class**: SEBI has proposed 'Specialised Investment Funds' (SIFs) as a middle option between Mutual Funds (MFs) and Portfolio Management Services (PMS).
2. **Investor Protection Emphasis**: The regulatory framework for SIFs leans more towards MF-style rules to ensure higher investor protection, unlike the lighter-touch regulations for PMS.
3. **Higher Entry Threshold**: The minimum ticket size for SIFs is ₹10 lakh, significantly higher than the ₹250 needed for MFs, in order to filter out speculative small-scale participants.
4. **Rationale**: This move aims to prevent retail investors from entrusting large sums to unregulated or dubious entities in search of high returns.
5. **Eligibility to Launch SIFs**: Only registered Asset Management Companies (AMCs) may launch SIFs, provided they meet either the three-year track record and ₹10,000 crore assets criterion, or employ a Chief Investment Officer with 10 years' experience managing at least ₹5,000 crore.
6. **Preference for Institutional Track Record**: The editorial suggests it would have been preferable to rely solely on institutional track record rather than allowing individual manager experience as a substitute.
7. **Distinct Branding**: To avoid confusing retail investors, AMCs must use unique brands for SIFs, though they can display the parent brand name alongside for the first five years.
8. **Largely MF Rules, But With Exceptions**: SIFs must comply with standard MF regulations except for some relaxed norms around issuer limits, derivatives, liquidity, and disclosures.
9. **Higher Single-Issuer Limits**: SIFs can invest 12–20 per cent in a single issuer of debt, compared to a 10 per cent cap for MFs, allowing them greater concentration flexibility.
10. **Derivatives Leeway**: SIFs are permitted up to 25 per cent active derivatives exposure—whereas typical MFs can only use derivatives for hedging, not active positioning.
11. **Flexible Redemption**: Unlike MFs, which are largely open-ended or close-ended, SIFs can offer purchase and redemption at intermediate intervals.
12. **Mandatory Disclosures**: SIFs must disclose their portfolio holdings every alternate month and also use scenario analysis to clarify risks for investors.
13. **Narrow Initial Strategy Set**: Initially, SIFs can only offer a limited range of strategies—three equity long-short funds (including a top-100-exclusion strategy and sector-rotation strategy), two debt long-short funds, and two hybrid variants.
14. **Long-Short Strategies in Focus**: Globally, such strategies are typically used by hedge funds catering to wealthy clients; how they appeal to Indian retail investors remains uncertain.
15. **Need for Diverse Products**: Given India's AMCs have minimal long-short and derivatives experience, the editorial suggests they must broaden their offering beyond the current list if SIFs are to succeed.

Practice Exercise: Banking Pattern Based



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